MINISTRY OF EDUCATION, SINGAPORE
in collaboration with
UNIVERSITY OF CAMBRIDGE LOCAL EXAMINATIONS SYNDICATE
General Certificate of Education Advanced Level
Higher 2

ECONOMICS

9757/01

Paper 1

October/November 2019

2 hours 15 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **all** questions.

The number of marks is given in brackets [ ] at the end of each question or part question.

Extract 3: Vietnam faces an energy dilemma

Vietnam plans to rely more heavily on coal-fired power plants by 2030. The country's current energy plan calls for more than 50% of its electricity production to come from coal by 2030, as compared with roughly a third in 2015. Unless this plan can be reversed, it is not only bad news for the Southeast Asian nation already suffering from severe air pollution but also for international efforts to battle climate change.

Only a few years ago, Vietnamese officials held out great hope for nuclear power plants that were to be built by the Russian state company Rosatom, but the Vietnamese government decided that the costs were too high. As a result, nuclear power seems out of reach. In addition, Vietnam's hydropower has now reached its maximum capacity with no room for further growth. The renewable energy sector remains undeveloped. These factors have led Vietnam to plan to use more coal-fired power to keep up with growing demand for energy.

Vietnam's Deputy Prime Minister has stated that coal-fired power will remain the country's main source of electricity until 2030 and possibly even longer. The Deputy Director of Electricity of Vietnam (EVN), the state-owned electricity company, said in the same report that coal-fired power plants' emissions will be 'minimised by the application of modern technology'. EVN, however, could be part of the problem. A former US diplomat and Vietnam expert has written that EVN has been at least until recently 'bloated and inefficient, dependent on old methods, and overly fond of yesterday's technology'. Long after Vietnam introduced economic reforms in other sectors, Soviet-style planning survived at EVN and also at state-owned Vinacomin, which is a powerful monopoly in the market for coal.

This raises questions about how the notoriously inefficient EVN would be able to handle an expansion of Vietnam's electricity infrastructure as it moves to accommodate increased power demands. EVN itself has reported that its productivity was only a tenth of Singapore's electricity industry, three quarters of Malaysia's, and less than half of Thailand's. It is predicting however that Vietnam's productivity can be boosted to the point where it will reach Malaysia's level by 2020.

It was noted in a scientific journal earlier this year that until now Vietnam has failed on a wide scale to enforce environmental protection laws. A recent study concluded that pollution from coal had led to some 4300 premature deaths in Vietnam in 2011. In the latest development, it was reported that Vietnam had cancelled a controversial plan to dump some one million cubic metres of a mix of sediment, silt, and sand from a power plant into the sea. The plan had been met with strong opposition from local residents and fishing industry workers, who argued that the waste would destroy coral reefs and fishing grounds.

On a potentially positive note, Hanoi, the capital city of Vietnam, has produced a plan to reduce another source of air pollution – an estimated five million motorbikes spewing so much gas into the air that breathing can often be difficult. Under the new plan, city residents would gradually switch to public transportation, with a ban on motorbikes coming into effect by 2030.

But Hanoi residents express doubts that the city can put into place a public transport system that would enable the switch away from motorbikes. In addition, some complain that the plan would be unfair to the majority who cannot afford to buy cars. Currently, Hanoi has limited bus transportation, with fewer than 10% of residents using buses, and there is no metro or underground system. An alternative policy is 'road pricing' where motorists would be charged to use busy roads at certain times.

Source: *Asia Times*, 17 August 2017

Question 2: The changing landscape of international trade

Extract 4: The end of globalisation?

Until recently, the advance of globalisation with greater economic ties between countries was seen as inevitable, whether it was wanted or not. As the United Nations' Secretary-General said in 1999, 'Globalisation is an irreversible process, not an option.' Then, against expectations, the script changed. In January 2017, Donald Trump became President of the US. His perspective was expressed as follows: 'We must protect our borders from the ravages of other countries making our products, stealing our companies and destroying our jobs.'

For some time, however, the pace of globalisation has been slowing. Between 1970 and the global financial crisis of 2008, the ratio of global trade in goods to global GDP rose from around 20% to just under 52%. Since the crisis, however, trade has not been as dynamic and the ratio has fallen to 45%. This is a key indicator of the reversal of globalisation. In addition, international financial flows have suggested a slowing down of globalisation. Multinational companies' cross-border investments fell by around 15% in 2016. Foreign direct investment is well below its pre-crisis peak and projected to decline further.

Manufacturing is becoming more local. A component supplier to a world-leading US manufacturer of smartphones and tablets is reported to be considering investing in manufacturing in the US rather than China. As automation reduces the labour needed for production and new technologies allow for smaller factories, localised production is more possible – a benefit for customers demanding personalisation and near-immediate delivery. Similarly, a major German manufacturer of sportswear has a factory in Germany that takes advantage of automation and 3D printing to make customised trainers (sneakers) on demand in an expensive location, rather than setting up the factory abroad.

The period of globalisation that began in the early 1990s may be drawing to a close. Should globalisation start to reverse, it could have far-reaching consequences for countries, corporations and investors.

Source: *From Global To Local: The Making of Things and the End of Globalisation*, Finbarr Livesey, 2017

Table 1: Employment in the US by major industrial sector, 2000–2020

Industrial sector	Number of workers employed (millions)			% of total employment		
	2000	2010	2020*	2000	2010	2020*
Mining	0.5	0.7	0.7	0.4	0.5	0.4
Agriculture	2.4	2.1	2.0	1.6	1.5	1.2
Construction	6.8	5.5	7.6	4.6	3.9	4.5
Manufacturing	17.3	11.5	11.4	11.8	8.1	7.0
Services	107.9	112.7	130.7	73.8	78.8	79.9

* Projected

Source: Bureau of Labor Statistics, 2017

Extract 5: The rise of global value chains

Over the past 30 years, the growing technological complexity of products, trade liberalisation, and lower transportation and communications costs have re-shaped the landscape of global trade. International production, trade and investments are increasingly organised within so-called global value chains (GVCs) where the different stages of the production process are located across different countries.

Firms try to optimise their production processes by locating the various stages across different sites in different countries. Asia has especially exemplified this new pattern of production.

Integration into GVCs brings benefits beyond those traditionally associated with international trade in final goods, reflecting the division of production and task specialisation, which enables each participating country to exploit comparative advantage and raises the benefits of producing on a larger scale. Among the clear beneficiaries of globalisation are the emerging economies, which have become increasingly integrated into more and more complex global value chains. Their role in processing raw materials, and in manufacturing and services, has grown rapidly. The value chain describes the full range of activities that firms and workers do to bring a product from its conception to its end use. This includes, for example, design, production, marketing, distribution and after-sales support to consumers.

Source: UNCTAD, 2017

Table 2: Participation in global value chains in selected economies (%)

	% of foreign inputs in an economy's exports
Singapore	81
Malaysia	68
China	61
Japan	49
United States	42
Pakistan	40

Source: UNCTAD, 2017

Extract 6: China's 'Belt and Road Initiative'

The 'Belt and Road Initiative' is an immensely ambitious development campaign through which China wants to boost trade and stimulate economic growth across Asia and beyond. It hopes to do so by building massive amounts of infrastructure connecting it to countries around the globe. By some estimates, China plans to spend US$150 billion each year on such projects. An extraordinary US$900 billion worth of projects are planned or under way.

There are plans for pipelines and a port in Pakistan, bridges in Bangladesh and railways to Russia – all with the aim of creating what China calls a 'modern Silk Road' trading route that Beijing believes will launch a new era of globalisation. Beijing has championed a number of projects, foremost among them the US$62 billion China-Pakistan economic corridor, a network of motorways, power plants, factories and railways that supporters say will spark an 'economic revolution' and create up to one million jobs in Pakistan. Other high-profile schemes include a US$1.1 billion port project in Sri Lanka, a high-speed rail link in Indonesia and an industrial park in Cambodia.

Observers say a number of overlapping goals lie behind China's 'Belt and Road Initiative'. In many ways it is an economic plan designed to open up and create new markets for Chinese goods at a time when China's economy is slowing. It also intends to export excess cement and steel capacity by shifting factories overseas to less developed countries.

Source: Tom Phillips, *The Guardian*, 12 May 2017

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ECONOMICS

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Paper 2 Essays

October/November 2019

2 hours 15 minutes

No Additional Materials are required.

READ THESE INSTRUCTIONS FIRST

An answer booklet will be provided with this question paper. You should follow the instructions on the front cover of the answer booklet. If you need additional answer paper ask the invigilator for a continuation booklet.

Answer **three** questions in total, of which **one** must be from Section A, **one** from Section B and **one** from **either** Section A or Section B.

The number of marks is given in brackets [ ] at the end of each question or part question.

Section B

One or two of your three chosen questions must be from this section.

4 In 2017, the annual rate of inflation in Singapore was significantly lower than the average rate for Southeast Asia.

(a) Explain a possible demand side reason and a possible supply side reason for a rise in the rate of inflation. [10]

(b) Assess whether policies designed to prevent a large and continuing rise in inflation in Singapore are the most appropriate policies for all economies. [15]

5 There is potential for governments to achieve both inclusive growth and sustainable growth.

(a) Explain what is meant by inclusive growth and sustainable growth. [10]

(b) Discuss the extent to which it is possible for a small, open economy such as Singapore to achieve both inclusive growth and sustainable growth. [15]

6 Globalisation has been a major influence on Singapore's economic performance. The uncertainty and instability happening around the world in recent years could threaten the economic benefits that globalisation brings.

(a) Explain **two** different factors that have enabled globalisation to occur. [10]

(b) Assess whether current global economic developments will have a positive or negative effect on Singapore's future economic performance. [15]

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Question 1 © *Grab-Uber merger has reduced competition...*; Channel NewsAsia; 5 July 2018; www.channelnewsasia.com/news/business/grab-uber-merger-competition-financial-penalties-10501708

Answer **three** questions in total.

Section A

One or two of your three chosen questions must be from this section.

1 According to the Competition and Consumer Commission of Singapore (CCCS), the takeover of Uber by Grab in Singapore has led to 'a substantial lessening of competition'. This has made it harder for new competitors to enter the ride-hailing market.

Source: Adapted from *Channel NewsAsia*, 5 July 2018

(a) Explain **one** reason why consumers might be better off and **one** reason why consumers might be worse off from Grab's takeover of Uber. [10]

(b) Discuss the potential benefits and problems that are likely to be experienced by new competitors considering entering the ride-hailing market dominated by Grab. [15]

2 A firm in Singapore is facing an increase in demand for its goods which has led to an increased demand for labour. Its demand for labour is also inelastic. In addition, large numbers of its workers born in the 1960s ('baby-boomers') have been retiring, reducing the number of workers available to the firm.

(a) With the aid of a diagram, explain how this firm's total expenditure on its workforce will have changed as a result. [10]

(b) Discuss whether making changes to the foreign worker levy is likely to be the most effective way the Singapore government can address the labour shortages experienced by such firms. [15]

3 There was a serious outbreak of flu (influenza) across the world at the beginning of 2018. In many countries, vaccinations were provided free of charge to the most vulnerable people and various Health Authorities urged the elderly and children to get vaccinated as soon as possible.

(a) Explain why vaccinations against infectious diseases, if left to market forces, might be allocated undesirably. [10]

(b) Suppose the government decides to intervene in the market and subsidise vaccinations against infectious diseases.

Discuss whether government subsidy is the best policy to ensure vaccinations are allocated desirably. [15]

Extract 7: Globalisation thrives in Asia as export revival boosts growth

For all the talk of globalisation's retreat it is proving to be a very different story in Asia. Exports are rising again, governments are pursuing free-trade deals, and rather than bringing jobs back home, US car producers are planning new facilities in China. That early-2017 worry over the potential for a trade war is now turning into recognition that there has been something of a trade boom as the global economy's strongest growth in seven years drives demand for Asian-made goods. The leading indicators of trade – manufacturing export orders and shipping rates – remain high, and global growth in the next few years is forecast to remain robust. And while the threat of a trade war remains, so far the US government has proven far more reluctant to challenge China than expected.

Source: Enda Curran and Michael Heath, bloomberg.com, accessed 11 January 2018

Questions

(a) With reference to Figures 1 and 2, what evidence is there to suggest an increase in productivity of workers in US manufacturing over the period 1987–2017? [2]

(b) Using an example, explain a benefit to a firm of producing on a larger scale through participation in the global value chain. [2]

(c) Explain **one** possible reason why Singapore has such a high participation rate in the global value chain. [2]

(d) Explain **two** possible reasons for the US government's call for tariff protection of the US manufacturing industry. [6]

(e) Considering possible advantages and disadvantages to Pakistan's economy of China's 'Belt and Road Initiative', assess whether it is likely to be of overall benefit to Pakistan. [8]

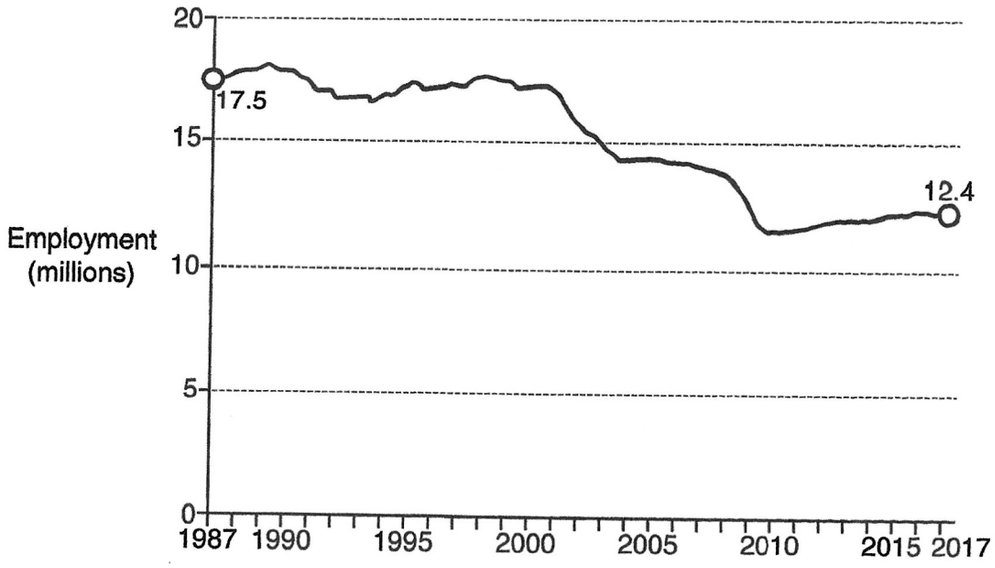
(f) Using economic analysis and based on the evidence provided, discuss whether you agree with the view that globalisation is reversible. [10]

[Total: 30]

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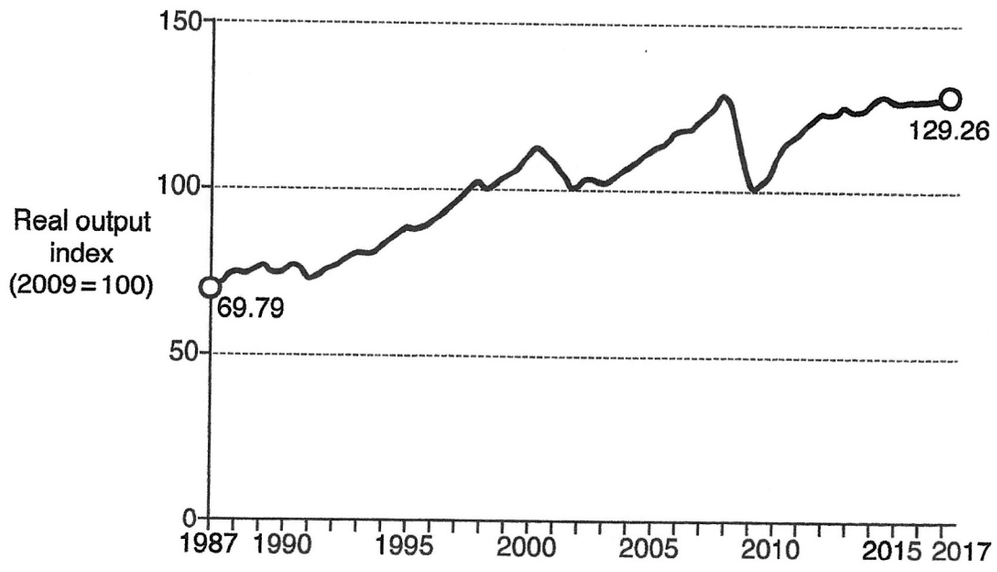
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Figure 1: US manufacturing employment, 1987–2017



Source: Bureau of Labor Statistics, 2017

Figure 2: US real manufacturing output, 1987–2017



Source: Bureau of Labor Statistics, 2017

Questions

(a) With reference to Extract 1, identify a demand factor and explain how it has affected demand for coal in the US. [2]

(b) Using the evidence in Extract 1, explain whether the cross elasticity of demand in China between coal and renewable energy is positive or negative. [3]

(c) Using a diagram and Extract 1, explain how the UK government's change in the minimum price of coal in 2016 is likely to have affected the UK market for coal. [3]

(d) With the help of a diagram, explain how a rise in the demand for coal in Vietnam is likely to affect its social welfare. [4]

(e) Discuss whether the Vietnamese government's plan to ban motorbikes and switch travel to public transport is likely to be better than a policy of road pricing in improving air quality in Hanoi. [8]

(f) Discuss whether the Vietnamese government's plans to remove state monopolies and create more competitive markets in energy provision will, on balance, improve economic efficiency in Vietnam. [10]

[Total: 30]

Answer **all** questions.

Question 1: Market failures in the Vietnamese energy market

Extract 1: Global demand for coal falls in 2016 for second year in a row

The use of coal in energy production has the effect of generating extensive carbon emissions. Global demand for coal has fallen for the second consecutive year, according to a recent report, helped by the United States (US) and China burning less coal, the dirtiest of the fossil fuels. The United Kingdom (UK) was described as the most extreme example of the trend away from coal. Its use of the fuel has returned to levels not seen for around 200 years. The 1.7% fall in worldwide consumption in 2016 marks a striking reversal of fortune for coal, the demand for which grew faster than any other energy source until four years ago.

In the US, a boom in power generation from cheaper, cleaner gas produced using a technique called fracking has led to coal being replaced as a source of energy. In China coal consumption has now been declining since 2014. This is because its economic boom slowed, causing a decline in industries that use a lot of energy, such as iron, steel and cement. In addition, China has seen enormous investment in renewable energy. As a result renewable energy prices have been falling. China is now seen as a global leader in combating climate change.

In the UK, three major coal-fired power plants were closed down in 2015 as a carbon tax was introduced. Coal consumption in the UK fell by 52.5% in 2016 and the trend away from the fuel has continued this year. In addition the UK government introduced an effective minimum price for coal in 2015 that was increased in 2016. These two measures suggest that prices can work in influencing consumer and producer behaviour.

An analyst in the UK said the shift away from coal was striking. 'The US saw a 9% fall in demand, while Chinese demand for energy is being limited by moves to a more sustainable growth pathway and the rapid expansion of renewables, which spells even further trouble for coal in the years to come,' he said.

Demand for coal has also fallen globally in recent years as a result of the rapid growth of renewable power generation. Wind, solar and other renewable power sources grew faster than any other source at more than 14% in 2016. However, energy demand growth globally was weak. Nearly all the growth came from developing countries, with China and India accounting for around half of new demand. It is reported that, as a result, global carbon emissions are unchanged for the third year in a row.

Source: Adam Vaughan, *The Guardian*, 13 June 2017

Extract 2: Vietnamese government aims for competitive energy market

Vietnam's government has assigned the Ministry of Industry and Trade (MoIT) to create a competitive market for coal. The state would gradually remove its control in the market while ensuring supply and demand balance. This is part of the Vietnamese government's policy of opening markets to private enterprise. It also plans to sell a 34.7% stake in the state-owned power producer Vinacomin, worth about 3.3 trillion dong (US$145.4 million). The state, which owns 99.7% of Vinacomin, the country's state-owned monopoly coal producer, also plans to reduce its stake in this firm to 65%.

Hanoi has been striving to reduce its stake in a range of state-owned enterprises, many of which are inefficient and have low profitability, but the progress has been slow. Vietnam's reform drive, however, picked up pace after Nguyen Xuan Phuc became Prime Minister in April 2016.

Source: *Reuters*, 27 July 2017